Absorbing Transition DID Results: Big4 Background — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.048		0.031***		-0.066
		(0.061)		(0.006)		(0.062)
× Voluntary Rotation		0.001		0.003		-0.001
		(0.010)		(0.006)		(0.009)
Pooled	0.009		0.002		0.007	
	(0.009)		(0.004)		(0.008)	
Mandatory − Voluntary		-0.048		0.028***		-0.065
Difference p-value		0.435		0.001		0.295
Observations	58,780	51,742	58,780	51,742	58,780	51,742
Firms	5,508	5,302	5,508	5,302	5,508	5,302
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.055		0.032***		-0.074
		(0.065)		(0.006)		(0.065)
× Voluntary Rotation		-0.004		0.008		-0.009
		(0.010)		(0.006)		(0.009)
Pooled	0.007		0.008*		0.002	
	(0.011)		(0.004)		(0.011)	
Mandatory − Voluntary		-0.051		0.024***		-0.064
Difference p-value		0.433		0.002		0.326
Observations	50,142	45,542	50,142	45,542	50,142	45,542
Firms	4,547	4,510	4,547	4,510	4,547	4,510
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.067*		0.043		0.036
		(0.037)		(0.032)		(0.029)
× Voluntary Rotation		-0.001		-0.002		-0.001
		(0.008)		(0.005)		(0.007)
Pooled	-0.006		-0.005		-0.005	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		0.068*		0.045		0.037
Difference p-value		0.074		0.169		0.225
Observations	60,696	53,263	60,696	53,263	60,696	53,263
Firms	5,628	5,390	5,628	5,390	5,628	5,390
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.052		0.036		0.024
		(0.037)		(0.031)		(0.029)
× Voluntary Rotation		0.004		0.000		0.003
		(0.008)		(0.005)		(0.007)
Pooled	-0.003		-0.004		-0.002	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		0.049		0.036		0.021
Difference p-value		0.197		0.257		0.482
Observations	61,541	53,957	61,541	53,957	61,541	53,957
Firms	5,628	5,407	5,628	5,407	5,628	5,407
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.